

The Full Regulatory Risk-Metrics Map

Every metric a Luxembourg ManCo/AIFM (with a DIFC branch) is mandated to track across market, liquidity, leverage, counterparty, concentration, operational, valuation and sustainability risk

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Status: reference map — verify against the live CSSF/ESMA/DFSA text before using any single figure in a filing; regulations cited here are current as of July 2026, including AIFMD II transposition (Lux law of 3 March 2026, effective 16 April 2026).

How to read this document

Every metric below is presented the same way: **what it is** (first-principles logic — why this number, not another), **the exact regulatory requirement** (legal basis, threshold if one exists), **frequency**, and **why the CRO cares**. Colour tags mark the source regime: **ESMA** **IOSCO/FSB** **CSSF** **DFSA** . Section 13 is the master reporting calendar — the single table to hand to a new risk analyst.

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1. First Principles — Why Fund Regulation Looks Like This

Before the metrics, the logic. Bank regulation (Basel/CRR) exists because banks are leveraged, opaque, maturity-transforming, and backstopped by deposit insurance and central bank liquidity — so regulators demand *capital* against unexpected loss. A fund is different in kind: investors bear the loss directly (no bail-out, no deposit guarantee), the vehicle is not supposed to be leveraged the way a bank is, and its liabilities (redemptions) are contractual, not runnable in the same systemic sense — *unless* the fund promises more liquidity than its assets can deliver. That single asymmetry — **redemption terms vs. asset liquidity** — is the organizing idea behind nearly every liquidity and leverage rule in this document. Fund regulation is therefore built on four pillars, not one:

1. **Disclosure & transparency** — investors and regulators must be able to see risk before it crystallises (Annex IV, URR, KIID/PRIIPs).
2. **Structural limits** — diversification and leverage ceilings that prevent any single fund from becoming a concentrated bet or a systemic amplifier (UCITS 5/10/40, AIFMD leverage ceilings).
3. **Process requirements** — a fund manager must *have* a risk management function, a liquidity management process, and an independent valuation function, whether or not any single number breaches a limit (AIFMD Art. 15-16, UCITS Art. 51, CSSF 18/698).
4. **Systemic monitoring** — regulators aggregate fund-level data (Annex IV, URR) to watch for fund-sector risks that no single manager can see alone (ESMA Art. 25 leverage assessment, FSB/IOSCO liquidity mismatch programme).

A CRO's metrics map should mirror this: metrics that satisfy pillar 3 (process) look different from metrics that satisfy pillar 2 (hard limits) — a breach of the former is a governance finding, a breach of the latter is a regulatory incident. Keep that distinction live throughout what follows.

2. The Regulatory Architecture — Who Requires What, For Which Vehicle

A Lux ManCo with an Alternatives platform typically operates under three or four overlapping regimes simultaneously. The table below is the map of which text governs which vehicle — get this wrong and every metric downstream is mis-scoped.

Regime	Level	Applies to	Core risk-management articles
AIFMD (Dir. 2011/61/EU) + AIFMD II (Dir. 2024/927, in force 16 Apr 2026)	L1 Directive	All AIFs (SIFs, RAIFs, Part II UCIs, SICARs, loan-origination funds — new LOF regime under AIFMD II)	Art. 15 (risk management), Art. 16 (liquidity), Art. 19 (valuation), Art. 21 (depository), Art. 23 (disclosure), Art. 24 (reporting/Annex IV), Art. 25 (leverage / systemic risk)
AIFMD Delegated Regulation 231/2013	L2	Same as above	Art. 38-39 (risk limits), Art. 40-49 (liquidity management), Art. 6-11 (leverage: gross & commitment methods), Annex IV (reporting template)
UCITS Directive 2009/65/EC + UCITS VI (Dir. 2024/927 — same amending act as AIFMD II)	L1 Directive	Retail UCITS funds	Art. 51 (risk management process), Art. 52-56 (investment limits/diversification), Art. 84 (redemption suspension)
Commission Directive 2010/43/EU	L2	UCITS ManCos	Organisational requirements, permanent risk management function, conflicts of interest
CESR/10-788 → ESMA Guidelines	L3 Guidelines	UCITS	Global exposure & counterparty risk calculation methodology (commitment approach / VaR)
ESMA Guidelines on Article 25 AIFMD (ESMA34-32-552, 2020)	L3 Guidelines	NCAs assessing AIFM leverage	5 indicators for leverage-related systemic risk assessment
ESMA Guidelines on LST (ESMA34-39-882, in force 30 Sep 2020)	L3 Guidelines	UCITS & AIFs	16 guidelines on liquidity stress test design, frequency, integration into risk management
IOSCO Recommendations for LRM for CIS (2018) & Leverage Framework (FR18/2019, updated by FSB/IOSCO Dec 2023)	Global standard-setter (soft law → transposed via ESMA/CSSF)	Open-ended funds globally	Liquidity/redemption alignment (17 recs, Dec 2023 revision), 2-step leverage framework (GNE + IRE)
CSSF Circular 18/698	National — consolidated authorisation/organisation circular	All Lux UCITS ManCos & AIFMs	Permanent risk management, compliance, internal audit functions; governance; substance
CSSF Circular 11/512	National	UCITS	Transposes CESR/10-788 — global exposure, VaR validation, counterparty risk
CSSF Circular 25/901 (19 Dec 2025)	National	Part II UCIs, SIFs, SICARs	Modernised risk-spreading/borrowing rules; LMT disclosure requirements ahead of AIFMD II
CSSF Circular 26/910	National	AIFMs of open-ended AIFs	Transposes ESMA Guidelines on Liquidity Management Tools (mandatory LMT selection)
Guidelines on UCITS Risk Reporting (CSSF, 13 Dec 2022)	National reporting standard	UCITS	URR template — quarterly/annual risk data submission
EMIR (Reg. 648/2012, Refit) / SFTR (Reg. 2015/2365)	EU Regulation (directly applicable)	Any fund trading OTC derivatives / SFTs	Clearing obligation, margin (IM/VM), trade reporting T+1
DORA (Reg. 2022/2554, in force 17 Jan 2025)	EU Regulation	ManCos/AIFMs above AIFMD de-minimis threshold	ICT risk management, incident reporting, third-party register, resilience testing
SFDR (Reg. 2019/2088) + RTS	EU Regulation	All EU financial market participants	PAI indicators, Art. 8/9 fund disclosures

DFSA Rulebook — GEN, PIB, COB, AML modules	National (DIFC)	DIFC branch — Cat 3C (fund manager) / Cat 4 (advisory)	Capital (base + expenditure-based), liquidity, large exposures, conduct
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First-principles note on why there are three layers (L1/L2/L3)

Directives (L1) state the principle ("manage liquidity risk"); Delegated/Implementing Regulations (L2) are directly applicable and give the mechanics (e.g., the exact commitment-method netting rules); ESMA Guidelines (L3) are "comply or explain" but NCAs (CSSF) enforce them as if binding. A CRO who reads only the Directive will miss where the actual numeric thresholds live — those sit almost entirely in L2 (Delegated Reg. 231/2013) and L3 (ESMA Guidelines), not in the Directives themselves.

3. Governance, Substance & Own-Funds Metrics

Metric	Requirement & reference	Frequency	Why it matters
Initial + additional own funds	AIFMD Art. 9 / UCITS Art. 7: €125k base + 0.02% of AUM above €250m (capped at €10m); AIFMs of portfolios >€250m need additional own funds or PII cover. CSSF 18/698 confirms calculation and PII alternative.	Continuous; calculated at least annually and on material AUM change	First-principles: a manager, not the fund, bears professional-liability risk (bad valuation, negligent risk management) — this is <i>manager</i> solvency, not fund solvency.
Professional indemnity insurance (PII) adequacy	AIFMD Art. 9(7) — PII cover ≥0.9% of AUM, minimum per-claim and aggregate-annual limits set in Del. Reg. 231/2013 Art. 12-14.	Annual renewal; reviewed on AUM growth	Substitute for additional own funds — must be actively monitored as AUM scales, not "set and forget."
Substance / governance headcount	CSSF 18/698: minimum 3 members of management body (conducting officers), local substance (minimum 2 Luxembourg-based conducting officers for most authorisations), 3 independent functions (risk, compliance, internal audit) — can be delegated but not eliminated.	Continuous; attested in annual CSSF filing (within 5 months of FYE)	Governance risk cannot be "diversified away" — regulators treat under-resourced permanent functions as a standalone finding regardless of portfolio performance.
Risk management function independence	AIFMD Art. 15 / UCITS Art. 51 / CSSF 18/698: functional and hierarchical separation of risk management from portfolio management; risk policy reviewed at least annually; risk management report to the board.	Risk management report: at least annually to the board/conducting officers; escalation ad hoc on limit breach	The independence requirement exists because a risk function that reports to the CIO cannot credibly say "no" — this is a structural conflict-of-interest control, not a metric per se, but auditable.
Remuneration risk metrics	AIFMD Annex II / UCITS Annex II: bonus-to-fixed ratio, deferral (≥40%, ≥60% for largest awards) and instrument-based (≥50% in units) for "Identified Staff"; malus/clawback triggers.	Annual (remuneration policy review + disclosure in annual report)	Aligns risk-taker incentives with multi-year fund performance — a structural leverage/risk-appetite control, not just an HR metric.

4. Market Risk Metrics

First principles: a fund's "market risk" question is not "how much capital do we need against loss" (there is none, beyond the manager's own funds above) but "how much can the NAV move, and does that match what we told investors to expect." That is why the central UCITS market-risk metric is called *global exposure* — a leverage-and-market-risk hybrid — rather than a capital charge.

Metric	Requirement & reference	Frequency	Why it matters
Global exposure — Commitment Approach	ESMA /CESR-10-788, transposed CSSF 11/512: sum of absolute notional derivative exposures (after netting/hedging), converted to underlying equivalents, must not exceed 100% of NAV (i.e., total exposure $\leq 200\%$ of NAV incl. the physical book) for UCITS.	Daily calculation; reported at NAV frequency	Default methodology for simpler funds — a leverage ceiling expressed as a market-risk exposure limit, deliberately conservative because it doesn't net offsetting risk positions well.
Global exposure — Absolute VaR	99% confidence, 20 trading-day (1-month) horizon, ≤ 1 -year historical observation: Absolute VaR $\leq 20\%$ of NAV . ESMA /CESR-10-788.	Daily VaR calculation	Used for funds where notional-sum methodology understates risk (complex derivative overlays, relative-value books).
Global exposure — Relative VaR	Fund VaR $\leq 2\times$ reference-portfolio VaR (a comparable unleveraged benchmark). ESMA /CESR-10-788.	Daily	Directly answers the "how much more risk than a plain benchmark" question — the most intuitive of the three approaches for relative-return mandates.
VaR model backtesting — overshootings	250 trading-day rolling window at 99% confidence: ≤ 4 overshootings/year (green) , 5-9 amber (requires explanation), ≥ 10 red (model likely miscalibrated) — Basel-style RAG thresholds cross-applied per CSSF thematic guidance on VaR model validation.	Daily backtest, RAG status reported quarterly to CSSF/board	A VaR model nobody backtests is just an unverified opinion; the RAG bands are the industry-standard way to know when to stop trusting the model.
Stress-test P&L (market risk)	Required as part of the risk management process (AIFMD Art. 15 / UCITS Art. 51); no single prescribed scenario set — manager defines scenarios proportionate to strategy (rates, credit spread, equity, FX, vol shocks; historical + hypothetical).	At least quarterly; ad hoc around known event risk	VaR describes "normal" markets; stress tests describe the tail the VaR model, by construction, under-samples.
Interest rate / spread duration & sensitivities (Greeks)	Implicit under Art. 15/51 risk management process; explicit granular detail required in CSSF URR (interest rate sensitivity fields) and AIFMD Annex IV (Section on risk profile — market risk measures).	Daily internal monitoring; quarterly regulatory reporting (URR/Annex IV)	Duration and Greeks are the "why" behind a VaR number — needed to explain and hedge, not just measure, market risk.
Reference portfolio / benchmark tracking error (index-tracking & relative-VaR funds)	ESMA Guidelines on ETFs and other UCITS issues (2014/937): tracking error disclosure and monitoring for index-tracking UCITS.	Daily monitoring; periodic disclosure	Distinguishes genuine active risk from unintended index-tracking slippage.

5. Leverage Metrics

First principles: leverage is not inherently dangerous — the danger is *forced deleveraging* under stress (margin calls, redemptions) turning a paper loss into a fire sale that moves the market against everyone holding the same position. Every leverage metric below is really trying to measure "how much forced selling could this fund trigger, and into what."

Metric	Requirement & reference	Frequency	Why it matters
Gross Method leverage	AIFMD Del. Reg. 231/2013 Art. 7: sum of absolute value of all positions (converted to underlying equivalents for derivatives), no netting or hedging offset , expressed as a ratio to NAV.	Calculated at each NAV; reported quarterly/semi-annual/annual via Annex IV (frequency below)	Deliberately blunt — it is the "what if everything moves against us at once, uncorrelated" number; used as the conservative anchor.
Commitment Method leverage	AIFMD Del. Reg. 231/2013 Art. 8-11: as gross, but allows netting of exactly offsetting positions and recognised hedging arrangements.	Same as gross method	The "economically realistic" leverage figure — the gap between gross and commitment tells you how much of your gross exposure is genuinely hedged vs. directional.
Leverage disclosure ceiling to investors	AIFMD Art. 23(5): AIFM must disclose to investors the maximum level of leverage it may employ, and must notify NCA/investors if that ceiling is exceeded.	Pre-investment disclosure; breach notification ad hoc, immediate	Turns leverage from an internal risk number into a contractual ceiling — breaching your own stated maximum is a disclosure/mis-selling issue, not just a risk issue.
Annex IV leverage reporting (gross & commitment)	AIFMD Art. 24 / Annex IV: reported per AIF. Quarterly if AIFM's total AUM >€1bn (or the AIF itself is leveraged & >€500m); semi-annual between €500m-€1bn (unleveraged) / €100m-€500m (leveraged); annual for unleveraged closed-ended PE-style funds investing in non-listed companies. Submitted within 30 days of period-end (45 for funds-of-funds).	Quarterly / semi-annual / annual by AUM+leverage tier	The size/leverage-tiered frequency is itself risk-based regulation: the more AUM and leverage a fund carries, the more often the regulator wants eyes on it.
ESMA Art. 25 systemic-leverage indicators (5 indicators)	ESMA Guidelines ESMA34-32-552 (Dec 2020): (1) interconnectedness with counterparties/banks, (2) concentration of exposure/de-leveraging risk, (3) direct & indirect exposure of the financial system, (4) procyclicality of the strategy, (5) potential market impact of a forced sale (loss spiral).	NCA assessment at least annually using Annex IV data	This is where "your leverage number" becomes "the system's leverage problem" — the exact analytical bridge from firm-level metrics to macroprudential leverage limits NCAs can impose under Art. 25.
IOSCO Leverage Framework — Step 1 screens (GNE, AGC)	IOSCO FR18/2019: Gross Notional Exposure (GNE) = sum of absolute notional of all positions incl. derivatives / NAV; Adjusted Gross Notional / Committed Capital ratios flagged for further review if GNE > certain jurisdiction-set thresholds (commonly referenced screening level ~250% NAV for further scrutiny, per IOSCO/FSB data collection practice).	Feeds annual IOSCO/FSB global monitoring exercise (aggregated from Annex IV / Form PF-equivalent data)	Designed for cross-border comparability — a common yardstick so a US, EU and Asian regulator are measuring "leverage" the same way when assessing systemic risk.
IOSCO Step 2 — Interest Rate Equivalent (IRE) & risk-adjusted measures	IOSCO FR18/2019: for funds flagged in Step 1, converts derivative notional to an interest-rate-duration-equivalent and considers netting, to avoid over-counting low-risk hedged notional (e.g., short-duration rates futures) as if it were high-risk leverage.	Ad hoc, on Step-1 flag	Corrects the crude GNE screen's biggest flaw: it treats a 2-year rates future the same as an equity total-return swap unless adjusted.
Borrowing limits	AIFMD Del. Reg. Art. 16 (temporary borrowing disclosure); fund-specific limits set in constitutional documents; CSSF 25/901 updates borrowing rules for Part II UCIs/SIFs by investor segment (professional vs. retail).	Continuous monitoring against documented limit	Direct (cash) leverage is simpler to measure than synthetic leverage but equally capable of forcing a fire sale on a margin call or facility breach.
UCITS structural leverage proxy	Global exposure itself (Section 4) doubles as the UCITS leverage metric — there is no separate "leverage ratio" disclosure requirement distinct from global exposure for UCITS, unlike AIFMD.	Daily	Reflects UCITS's much tighter retail-investor protection design — leverage is capped by the same commitment/VaR limit that caps market risk, rather than

			disclosed-but-uncapped as under AIFMD.
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6. Liquidity Risk Metrics

First principles: a redemption run is a fund's version of a bank run, and the entire liquidity toolkit exists to prevent the same mechanism — investors racing each other to redeem before the fund is forced to sell illiquid assets at a discount, which then makes remaining investors worse off, which accelerates further redemptions. Every liquidity metric is either (a) measuring the mismatch between asset liquidity and redemption terms, or (b) giving the manager a tool to break the redemption-race dynamic.

Metric	Requirement & reference	Frequency	Why it matters
Asset-side liquidity profiling (liquidation horizon buckets)	ESMA LST Guidelines ESMA34-39-882: classify every position by the time needed to liquidate a given proportion without material market impact — typical buckets 1 day / 2-7 days / 8-30 days / 31-90 days / 91-180 days / >180 days.	At least monthly; more often for volatile/illiquid books	The raw input to every other liquidity metric — without it you cannot say whether redemption terms are honestly priced against the book.
Liability-side redemption profiling	ESMA LST Guidelines: model investor redemption behaviour incl. concentration (top-10 investor share), historical redemption patterns, notice periods, redemption frequency/gates/dealing days.	At least monthly; reviewed at each LST run	Asset liquidity alone is meaningless without knowing how fast liabilities can actually call it — a fund with weekly dealing and one investor holding 60% of NAV has a very different profile from the same book with 500 diversified holders.
Liquidity Stress Test (LST) — combined asset/liability	ESMA LST Guidelines (16 guidelines, in force 30 Sep 2020): must be run for every UCITS and AIF (proportionate to risk profile); at least annually , and before launch of a new fund/strategy; historical + hypothetical redemption & market scenarios; reverse stress test recommended.	≥ annually (minimum); higher-risk funds run quarterly or monthly; always pre-launch	This is the single test IOSCO/FSB (Dec 2023) and ESMA converge on as the core liquidity control — it directly tests the redemption-race scenario rather than just describing static liquidity.
Liquidity Management Tools (LMT) — mandatory selection	CSSF 26/910 (transposing ESMA LMT Guidelines) / AIFMD II & UCITS VI: open-ended AIFs (and UCITS under the parallel regime) must select at least 2 LMTs from the harmonised list — redemption gates, notice-period extension, redemption fee, swing pricing, dual pricing, anti-dilution levy, redemptions in kind, side pockets/suspension for exceptional circumstances.	Selected at fund design; activation ad hoc on trigger; disclosed in offering documents	The regulatory answer to "diversification of asset holdings can't fully solve a liquidity mismatch — give the manager tools to allocate the cost of liquidity fairly between redeeming and remaining investors."
Redemption coverage ratio (liquid assets vs. expected redemptions)	Not separately legislated by number but implicit output of LST under ESMA Guidelines and expected in CSSF risk management reporting; commonly expressed as (assets liquidatable in T days) / (redeemable liabilities in T days).	Daily/weekly internal monitoring; reported to board at least quarterly	The single number a CRO should be able to quote from memory for every open-ended fund — it is the direct measure of run risk.
Cash / HQLA buffer	No universal minimum percentage in AIFMD/UCITS texts (unlike MMF Regulation, which does mandate daily/weekly liquid asset minimums for money market funds — 10%/30% respectively, Reg. 2017/1131 Art. 24-25, if the platform runs any MMFs).	Daily	Where MMFs exist on the platform, this is a hard quantitative floor, not a soft target — flag separately from other liquidity metrics.
Redemption suspension governance	UCITS Art. 84 / AIFMD constitutional-document equivalent: conditions and process for suspending dealing in "exceptional circumstances," with NCA notification.	Ad hoc; NCA notified immediately on activation	The last-resort tool — its existence is itself a metric of governance readiness (is the process documented and rehearsed, or theoretical?).
FSB/IOSCO 2023 Revised Recommendations — product design classification	IOSCO FR/2023 (Dec 2023), 17 recommendations across 6 areas: bucket funds by asset liquidity into dealing-frequency categories (daily dealing only where asset liquidity supports it); mandate anti-dilution LMT usage in normal times, not just stress.	Fund design stage; reviewed at least annually	Moves liquidity management from "stress-time fire extinguisher" to "everyday cost-allocation tool" — swing pricing/ADL used routinely, not just in a crisis, is now the expected global standard.

7. Counterparty & Credit Risk Metrics

First principles: counterparty risk is the risk that the other side of a trade — a derivative counterparty, a securities-lending borrower, an issuer of a bond you hold — fails before it delivers what it owes you. The controls split into two families: (i) *concentration limits*, which cap how much you can lose to any single name, and (ii) *collateralisation/clearing*, which reduces how much you'd actually lose if that name defaulted.

Metric	Requirement & reference	Frequency	Why it matters
Issuer concentration — the "5/10/40 rule"	UCITS Art. 52-56: max 5% of NAV in transferable securities/money-market instruments of a single issuer, extendable to 10% per issuer provided all holdings >5% sum to ≤40% of NAV . (35% for government/public securities with 6-issue minimum diversification; up to 20%/25% for certain covered bonds/group issuers.)	Daily monitoring at every NAV	The oldest and most literal diversification rule in fund law — designed so no single corporate failure can do more than ~5-10% damage to a retail portfolio.
OTC derivative counterparty exposure limit	UCITS Art. 52(1): exposure to a single OTC counterparty ≤ 5% of NAV , raised to 10% if counterparty is an approved credit institution.	Daily (mark-to-market counterparty exposure)	Directly caps "what if my swap counterparty defaults today" — separate from the issuer-concentration rule because it's the mark-to-market receivable, not a bond holding.
Collateral diversification / issuer limit	ESMA Guidelines on ETFs & other UCITS issues (2014/937): collateral from a single issuer ≤ 20% of NAV unless the fund is fully collateralised by a diversified basket (e.g., government bonds from an approved list).	Daily, on every collateral movement	Collateral is only protection if it's not itself concentrated risk — this prevents "double exposure" to a weak issuer via both the position and its own collateral.
EMIR clearing obligation status	EMIR Reg. 648/2012 (Refit): standardised OTC derivative classes (IRS, CDS index) above clearing thresholds must be centrally cleared; thresholds by asset class (e.g., €1bn gross notional credit/equity derivatives, €3bn for other classes) determine FC/FC+ status.	Threshold calculation annually (rolling 12-month average); clearing itself continuous	Central clearing substitutes bilateral counterparty risk for CCP risk — a deliberate systemic-risk trade-off, hence the EMIR margin/default-fund rules on the CCP side.
EMIR margin (IM/VM) on non-cleared OTC	EMIR RTS on margin: daily variation margin exchange; initial margin per the ISDA SIMM or standardised schedule for in-scope counterparties above the €8bn AANA (average aggregate notional amount) threshold.	Variation margin: daily; AANA threshold check: annual	Where clearing isn't available/mandated, margin exchange is the direct substitute — it converts counterparty credit risk into operational/liquidity risk (funding the margin calls), which is why it shows up again in Section 6.
EMIR/SFTR trade reporting completeness	EMIR Refit / SFTR Reg. 2015/2365: all derivative and securities-financing transactions reported to a trade repository, generally T+1 ; ManCo/AIFM legally responsible & liable for UCITS/AIF-side reporting (incl. on behalf of NFC counterparties in some cases). CSSF Circular 23/846 on ESMA reporting guidelines.	T+1 per transaction; reconciliation ongoing	A pure transparency control — no limit is set, but mis-reporting is itself an enforcement risk independent of the underlying trade's economics.
Counterparty credit quality / internal rating monitoring	Implicit under Art. 15 AIFMD/Art. 51 UCITS risk management process; best practice + CSSF 18/698 expectation that risk policy defines approved-counterparty criteria and monitoring.	Continuous; formal review at least quarterly	Concentration limits assume the counterparty is solvent when the limit was set — this metric is what tells you when that assumption has stopped being true.
Potential Future Exposure (PFE) / wrong-way risk flagging	Not separately mandated by AIFMD/UCITS text, but expected under Art. 15/51 process proportionality and increasingly examined by CSSF in thematic reviews of derivative-heavy funds.	Continuous for active derivative books	Current exposure (today's MTM) understates real risk if exposure would grow exactly when the counterparty is weakening (e.g., a swap referencing the counterparty's own sector) — wrong-way risk is the classic Lehman-era blind spot.
Depository safekeeping / re-hypothecation limits	AIFMD Art. 21 / UCITS Art. 22-22a: assets held by a single depository, restrictions on reuse of assets (re-hypothecation) requiring prior consent and collateralisation.	Continuous; reconciliation at least daily/weekly per CSSF depository circulars	Counterparty risk isn't only about trading counterparties — the custody chain itself (prime broker re-hypothecation, sub-custodian networks) is a named AIFMD/UCITS risk category post-Lehman/MF Global.

8. Concentration Risk Metrics

Metric	Requirement & reference	Frequency	Why it matters
Single-issuer / single-name concentration (beyond the 5/10/40 rule for AIFs)	No hard UCITS-style ceiling under AIFMD (principle-based via Art. 15); fund-level limits set in constitutional documents, monitored under the risk management policy per CSSF 18/698.	Daily/at each valuation point	AIFs (esp. PE/private credit/RAIFs) are deliberately given more concentration latitude than UCITS because their investor base is professional — but the CRO still needs the number to manage tail risk.
Sector / geography concentration	Principle-based (Art. 15 AIFMD/Art. 51 UCITS); disclosed in periodic reporting (Annex IV Section on portfolio concentration; URR sector/geography breakdowns).	Quarterly regulatory reporting; continuous internal monitoring	Diversification "on paper" (many issuers) can still be one macro bet (all the same sector/region) — this metric catches correlated concentration the issuer-count metric misses.
Prime broker / financing-counterparty concentration	Expected under Art. 15 process and depositary due diligence (Art. 21); explicitly probed in AIFMD Annex IV (financing sources section) and by ESMA/CSSF in leverage-related systemic risk assessment.	Continuous; reported quarterly via Annex IV where applicable	A fund can be well-diversified on the asset side and still be existentially exposed to a single prime broker's survival — this is precisely the "interconnectedness" indicator under ESMA's Art. 25 leverage framework (Section 5).
Group / intra-group exposure	Relevant where the ManCo sits within a banking group (e.g., HSBC): group large-exposure principles cross-referenced from CRR-equivalent large-exposure logic even though the fund itself isn't a CRR entity; monitored under conflicts-of-interest rules (CSSF 18/698, Commission Dir. 2010/43/EU).	Continuous; disclosed in conflicts-of-interest register, reviewed at least annually	Group affiliation cuts both ways: it can mean stronger oversight, but also correlated risk (funding lines, execution counterparties, custody) concentrated in one banking group.
Investor concentration (liability side)	Covered under ESMA LST Guidelines (Section 6) as a redemption-risk input, not a separate limit; disclosed to NCA on request and factored into LMT calibration.	At least monthly, feeding LST	The mirror image of asset concentration — a single large LP redeeming can force the same fire-sale dynamic as an illiquid asset book, regardless of how diversified the assets are.

9. Valuation Risk Metrics

Metric	Requirement & reference	Frequency	Why it matters
Independent valuation function	AIFMD Art. 19: valuation function functionally independent from portfolio management (internal with Chinese walls, or external independent valuer); policy consistently applied.	Every NAV calculation; policy reviewed at least annually	Same independence logic as risk management (Section 3) — the person marking the book cannot be the person whose bonus depends on the mark.
NAV error / breach tolerance thresholds	CSSF Circular 02/77 (as updated): tolerance thresholds for NAV calculation errors — commonly 0.5% (money market funds), 1% (bond funds), 2% (other/equity funds) of NAV; breaches beyond threshold trigger investor compensation.	Checked at every NAV strike; breaches reported to CSSF without delay	One of the few genuinely hard numeric thresholds in Lux fund law with a mandatory investor-remediation consequence attached — treat NAV error rate as a KPI, not just an incident log.
Pricing exception / stale-price monitoring	Expected under Art. 19 AIFMD valuation policy and CSSF 18/698 internal control expectations; particularly acute for private credit/illiquid AIF marks (fair value hierarchy, third-party pricing sources).	Daily/at each valuation point; escalation log reviewed monthly by valuation committee	For Alternatives specifically, stale or model-based pricing is the single biggest source of understated risk (smoothed NAVs mask true volatility — directly relevant to VaR/LST inputs upstream).

10. Operational & Digital Resilience Metrics (DORA)

First principles: DORA (Reg. 2022/2554, in force 17 Jan 2025) treats a ManCo's ICT estate the same way market-risk rules treat a trading book — assume failure will happen, and measure how fast you detect, contain, and recover, rather than pretending it won't happen.

Metric	Requirement & reference	Frequency	Why it matters
ICT incident classification & reporting timelines	DORA Art. 19 + RTS: major incidents reported via initial notification (≤4h/24h depending on severity classification), intermediate report, and final report to CSSF.	Event-driven, strict timelines	Modelled explicitly on payment-systems/banking incident reporting — the timeline itself is the control, forcing early escalation before full root-cause is known.
Third-party ICT concentration register	DORA Art. 28: register of all ICT third-party arrangements, criticality classification, concentration risk to a single provider (esp. cloud).	Maintained continuously; submitted to CSSF annually	Direct read-across from counterparty concentration (Section 7) to the technology stack — "what if AWS/our fund administrator fails" is now a formally monitored risk, not an afterthought.
Digital resilience testing / TLPT	DORA Art. 24-26: proportionate testing programme; Threat-Led Penetration Testing (TLPT) for entities designated significant.	Basic testing at least annually; TLPT typically every 3 years for in-scope entities	Tests the DORA framework the way LST tests the liquidity framework — a control that's never been tested under stress is unverified.
Business continuity RTO/RPO	Expected under CSSF 18/698 operational risk management and DORA ICT risk management framework.	Tested at least annually	Recovery Time/Point Objectives translate "resilience" into numbers a board can actually hold management accountable to.
Scope note	AIFMs managing portfolios below the AIFMD de-minimis threshold (€100m leveraged / €500m unleveraged, 5-year lock-up) are excluded from DORA.	—	Worth confirming explicitly for smaller RAIFs/SIFs on the platform — don't over-apply DORA where it doesn't bite.

11. Sustainability Risk Metrics (SFDR)

Metric	Requirement & reference	Frequency	Why it matters
Principal Adverse Impact (PAI) indicators	SFDR Reg. 2019/2088 + RTS 2022/1288: 18 mandatory PAI indicators (GHG emissions/intensity, carbon footprint, fossil fuel exposure, biodiversity, water, waste, board gender diversity, controversial weapons, etc.) at entity level if opted in, mandatory for large entities (>500 employees).	Reported annually (reference period ends 31 Dec, published by 30 June)	Functions as a disclosure-driven risk metric: greenwashing/mis-selling risk now sits alongside market/credit risk as a supervised category, and PAI drift is watched by both ESMA and investors.
Taxonomy alignment %	EU Taxonomy Reg. 2020/852 + SFDR Art. 8/9 templates: % of investments aligned with taxonomy environmental objectives.	Annual disclosure, updated with periodic/pre-contractual documents	A quantified exposure metric increasingly used by institutional allocators as a screening filter — misstatement risk is now a live enforcement area (several 2024-2026 ESMA/NCA greenwashing actions).
Article 8/9 classification consistency	SFDR self-classification must be substantiated on an ongoing basis; ESMA's 2024 fund-naming guidelines add minimum thresholds (e.g., ≥80% assets meeting E/S characteristics for names using ESG-related terms).	Continuous portfolio monitoring against binding elements	Turns a marketing claim into a monitored risk limit — breaching your own Art. 8/9 binding criteria is now treated similarly to breaching an investment restriction.

12. DIFC Branch Overlay — DFSA Prudential & Conduct Metrics

A DIFC branch typically operates under a **Category 3C** (fund/collective investment/portfolio management) or **Category 4** (advisory, no client asset holding) DFSA licence. Because DIFC is a distinct common-law jurisdiction with its own regulator, these metrics run *in parallel* to the CSSF/ESMA stack above, not instead of it — a DIFC branch distributing or managing DIFC-domiciled feeders alongside the Lux platform needs both sets watched.

Metric	Requirement & reference	Frequency	Why it matters
Base capital requirement	DFSA PIB module: Cat 3C base capital typically USD 140,000-500,000 depending on precise activity mix (fund manager vs. also holding client assets); Cat 4 lower.	Maintained continuously; reported in prudential returns	DIFC's capital regime is expenditure-based rather than risk-weighted for 3C/4 firms (PIB 3.5) — a fundamentally different logic from Basel-style RWA, reflecting that these firms don't hold principal risk.
Expenditure-Based Capital Requirement (EBCR)	DFSA PIB 3.5: capital $\geq$ a proportion (typically ~6 weeks to 3 months, activity-dependent) of annual audited operating expenditure.	Recalculated at each annual audit; monitored quarterly	First-principles logic: if the firm needs to wind down, capital should cover enough runway to do so in an orderly way — a survival/orderly-exit metric, not a loss-absorption one.
Liquid assets requirement	DFSA PIB 3.5 / GEN module: minimum liquid asset buffer relative to capital requirement for Cat 3C/4 firms.	Continuous; reported in prudential return	Ensures the capital requirement isn't satisfied by illiquid or hard-to-realise assets — same logic as the fund-level liquidity buffer, applied to the manager entity itself.
Prudential returns / regulatory reporting	DFSA : periodic prudential return, annual audited financials, annual AML return, ad hoc material-change notifications.	Prudential return quarterly; audited financials & AML return annually	DFSA's reporting cadence broadly mirrors CSSF's own funds/URR philosophy — comparable data, different template.
Large exposures / connected-party limits	DFSA PIB module large-exposure rules where the branch holds any principal exposure (rare for a pure fund manager, relevant if the branch has group treasury/financing arrangements).	Continuous	Same concentration-risk logic as Section 8, applied to the branch's own balance sheet rather than the funds it manages.
AML/CTF risk-scoring & SAR metrics	DFSA AML module (aligned to FATF standards); UAE Central Bank goAML reporting for suspicious activity.	Continuous transaction monitoring; SARs filed immediately on detection	DIFC's AML regime is independently assessed (UAE FATF status) — a branch's AML metrics matter to the group's reputational risk even when the branch itself handles no client money directly.
Conduct-of-business metrics (COB module)	DFSA COB: suitability/appropriateness assessments for any advisory activity (Cat 4), client classification (retail/professional/market counterparty) accuracy.	Per client onboarding/review, at least annually	Mis-classification risk (treating a retail-equivalent client as professional to avoid protections) is a recurring DFSA enforcement theme — worth a standing metric, not just a one-off check.

13. Master Reporting Calendar — Consolidated Table

Report / metric set	Legal basis	Submitted to	Frequency
AIFMD Annex IV	AIFMD Art. 24 / Del. Reg. 231/2013 Annex IV	CSSF (home NCA)	Quarterly / semi-annual / annual by AUM+leverage tier; within 30 days of period end
UCITS Risk Reporting (URR)	CSSF Guidelines 13 Dec 2022	CSSF	Quarterly (Sections I-IV) for CSSF-flagged funds; annual baseline
Own funds / capital adequacy return	AIFMD Art. 9 / UCITS Art. 7	CSSF	Annual, recalculated on material AUM change
CSSF annual internal-control long-form report	CSSF 18/698	CSSF	Annual, within 5 months of FYE
Liquidity Stress Test results	ESMA LST Guidelines (ESMA34-39-882)	Internal board/risk committee; available to CSSF on request	At least annually; pre-launch; higher frequency for higher-risk funds
VaR backtesting / RAG status	CESR/10-788, CSSF 11/512	Internal board; CSSF on request/thematic review	Daily backtest; quarterly RAG reporting
EMIR trade & SFTR reporting	EMIR Refit / SFTR Reg. 2015/2365	Trade repository	T+1 per transaction
EMIR clearing threshold (AANA) assessment	EMIR RTS on margin/clearing	Internal; disclosed to counterparties	Annual (rolling 12-month average)
DORA major-incident reporting	DORA Reg. 2022/2554 Art. 19	CSSF	Initial ≤4h/24h; intermediate; final report — event-driven
DORA ICT third-party register	DORA Art. 28	CSSF	Maintained continuously; submitted annually
NAV error breach notification	CSSF Circular 02/77	CSSF	Immediate on breach of tolerance threshold
SFDR PAI statement	SFDR RTS 2022/1288	Public disclosure (website) / ESMA-aligned	Annual, reference period to 31 Dec, published by 30 June
Remuneration policy disclosure	AIFMD/UCITS Annex II	Annual report / CSSF	Annual
DFSA prudential return	DFSA PIB module	DFSA	Quarterly
DFSA audited financials & AML return	DFSA GEN/AML modules	DFSA	Annual
ESMA Art. 25 leverage systemic-risk assessment	ESMA34-32-552	NCA-to-ESMA (not manager-facing directly, but data-sourced from Annex IV)	At least annually
FSB/IOSCO global leverage & liquidity monitoring	IOSCO FR18/2019; FSB/IOSCO Dec 2023	Aggregated via NCA data (Annex IV-equivalent)	Annual global monitoring exercise

14. The Board-Level CRO Dashboard — Synthesis

Collapsing the ~50 metrics above into what actually belongs on a single board page, organised by the same first-principles logic as Section 1: process health, hard limits, and systemic/tail exposure.

Dashboard tile	Feeds from	RAG logic
Global exposure / leverage utilisation (% of applicable ceiling, per fund)	Sections 4 & 5	Green <70% of limit, amber 70-90%, red >90% or breach
VaR backtesting status	Section 4	Green ≤4 overshootings, amber 5-9, red ≥10 (rolling 250d)
Liquidity coverage ratio by fund (T+7 / T+30 buckets)	Section 6	Green ≥125% of expected redemptions, amber 100-125%, red <100%
LST outcome / last run date	Section 6	Red if last run >12 months old or fails combined scenario
Top-5 counterparty exposure (% NAV) vs. limit	Section 7	Green <3%, amber 3-5%, red at/above regulatory ceiling
Issuer/sector concentration (largest single exposure)	Section 8	Fund-specific limit-relative
NAV error incidents (count, bps impact)	Section 9	Any breach of tolerance = automatic red, immediate CSSF notification flag
DORA major incidents open / TLPT status	Section 10	Red on any unresolved major incident past reporting deadline
Own funds / PII headroom vs. AUM growth	Section 3	Amber if projected breach within 12 months at current AUM growth
Annex IV / URR filing status	Section 13	Red on any missed or late filing
DIFC branch capital & liquid-asset headroom	Section 12	Amber <125% of EBCR, red at/below requirement

Bottom line for the board

Everything above reduces to four questions asked at every board meeting, regardless of the underlying regulatory citation: **(1)** Could redemptions force a fire sale this quarter (liquidity)? **(2)** Could a market move breach a leverage or exposure ceiling we've promised investors (market/leverage)? **(3)** Could a single counterparty, issuer, or service provider failure do outsized damage (counterparty/concentration)? **(4)** Are our processes (valuation, ICT, governance, disclosure) demonstrably independent and tested, not just documented? Every metric in this map is evidence for one of those four questions.

Prepared as a reference map, not legal advice. Verify all figures against the live text of the AIFMD/AIFMD II, UCITS Directive/UCITS VI, Delegated Regulation 231/2013, the cited ESMA Guidelines, CSSF Circulars (cssf.lu), and the DFSA Rulebook (dfs.ae) before relying on any single threshold in a regulatory filing — several cited items (AIFMD II Level 2/3 measures, CSSF implementation guidance) were still being finalised as of July 2026 ahead of the 16 April 2026 transposition deadline and the 16 April 2027 reporting-obligation start date.